

The court felt that the action of the State Department was not equal to recognition and allowance of the claim of immunity and that it was free to determine its jurisdiction uninstructed by the executive branch. It found that the corporation of the government for commercial objects did not share the immunity with the sovereign.¹³¹

A suggestion of immunity by the State Department, but also that the court could make its own determination, led the court to hold that this did not indicate that the executive branch recognized the claim of the foreign government and therefore it felt free to give the claim of immunity such consideration as it deemed proper. The court took jurisdiction of a suit wherein the International Committee of Bankers on Mexico sought permission to render an account of their proceedings and instruction for distribution of money received from the Government of the Mexican Republic as trustees. The Government of Mexico had asserted that the committee held the money merely as its agent and that since the money was the property of Mexico, the court should refuse jurisdiction.¹³²

With the inherent power of the court to determine immunity, it can overrule the suggestion of immunity of the State Department, as it did in the case involving a libel against a private vessel requisitioned by the Greek Government but where the physical possession

¹³¹ *Ulen v. Bank of Gospodarstwa Krajowego*, 261 App. Div. 1, 24 N. Y. Supp. 2d 201 (2nd Dep't 1940).

¹³² *Lamont v. Travelers Ins. Co.*, 281 N. Y. 362, 24 N. E. 2d 81 (1939).

was not in the government, and denied a motion to dismiss.¹³³ Even where the State Department filed a suggestion in the court that the vessel in dispute was the property of the Mexican Government, but the facts indicated that the vessel, *The Baja California*, was operated by a privately owned Mexican corporation engaged in carriage for hire for private shippers, the court refused to grant immunity. The court stated that immunity has been allowed on proof of possession and use by a State even if the State Department has not certified but in the case at hand the State Department did not recognize immunity, and the court would not enlarge the concept of immunity.¹³⁴ This method of a court's determining immunity for itself has been strongly criticized, but for a court to act otherwise would be an admission of its lack of complete freedom.

It is not suggested that the court can disregard sovereignty in its consideration of immunity from jurisdiction. The international law which is the law of the land equally with the domestic law is a limitation upon the freedom of a court. But a determination of immunity of the State Department in its suggestion to the court cannot be more than a request, and a compliance with it is really a recognition of a duty not to embarrass the

¹³³ *The Katingo Hadjipatera*, 119 F. 2d 1022 (2nd Cir. 1941).

¹³⁴ *Republic of Mexico v. Hoffman*, 324 U. S. 30, 89 L. Ed. 729 (1944); cf. decision therein of Justice Frankfurter in which he strongly attacks the granting of immunity on the basis of possession, and believes that courts should not disclaim jurisdiction except where the State Dep't or Congress explicitly ask for judicial abstention.

Government in its political affairs. It is in the nature of a cooperative act, with the court lending its power because it is so inclined. Otherwise it is difficult to comprehend the immunity granted in such cases as *The Maipo*, a Chilean Navy transport chartered to a private person and trading commercially for private exporters. The libel in this case was for damages to a cargo of hides shipped aboard the vessel by a New Jersey corporation, from Uruguay to New York, and the State Department suggested immunity. The court noted that the vessel was a naval transport owned and possessed by the government; the naval officer, master and crew, on board, in the pay of the government. If the government considered trade a governmental function it was the business of Chile, and if the United States disapproved, the diplomatic and not the judicial branch would indicate it.¹³⁵ If the suggestion were the only criterion, there would be no need to discuss the elements of possession and operation; the effect of the suggestion would be automatic. It is submitted that the court, in treating a suggestion from the State Department, must be convinced of its applicability in face of other factors.

In *United States v. Deutches Kalysyndikat Gesellschaft*,¹³⁶ an action was brought in Equity to enjoin violation of the anti-trust laws by the defendants. The

¹³⁵ *The Maipo*, 252 F. 627 (D. C. N. Y. 1919), 259 F. 367 (D. C. N. Y. 1919).

¹³⁶ *United States v. Deutches Kalysyndikat*, see note 31 supra.

French Ambassador stated that one of the defendants was a State-created and controlled entity which administered potash mines in Alsace-Lorraine, and the proceeds from its sales were used for government purposes, 11/15 percent of the stock being owned by the French Government. The State Department advised that State-owned commercial entities as agencies of a foreign government had no immunity different from private foreign entities. The court, recognizing the immunity of a foreign sovereign and his property even if commercial, refused to grant immunity to the defendant corporation, which it felt was not the same as the government.

Certainly, the consistency in the last two cited cases above lies only in the acceptance of the State Department's suggestions which, being based upon other motives need not be consistent. If a conclusion could be drawn embracing the decisions of the courts, it would include the observation that, if the court is so inclined, it will obey the suggestions of the State Department, but not invariably. This choice is not only permissive, in spite of the dicta that it is the court's duty to follow the suggestion, it is a power inherent in a jurisprudential system wherein the judiciary is fundamentally not beholden to the executive.¹³⁷

¹³⁷ Cf. *Matter of U. S. of Mexico v. Schmuck*, 293 N. Y. 264, 56 N. E. 2d 577 (1945) (the State Dep't suggested immunity for a Mexican State-owned entity, and declared that it was the duty of the court to dismiss the action for want of jurisdiction, but the court stated that the judicial branch always has the right to determine whether by contract, the sovereign or its agent consented to be sued).

But, as the cases show, the courts to a large degree will follow the dictate of the executive branch. Whether it is at all likely that this practice will be changed will depend to a large extent upon a different approach to the subject of sovereign immunities. Where the sovereign activity is clearly within the classical category, the court will of its own accord recognize and grant the immunity. The suggestion of the State Department is unnecessary, and if presented will be recognized. However, if the activity is carried on by a State-owned entity, it is submitted, the court should take jurisdiction because the creation of the entity is to be considered an expression of the intent of the State to consider the entity separate from itself; it is thus merely another legal personality. Diplomatic intervention in such cases places upon the judiciary a burden, whether it is moral or political, which it should not bear. If after the court has made its determination, the case has sufficient significance for diplomatic intervention, it should be treated on diplomatic levels and not in derogation of legal rights enforceable in a court. The executive branch should not determine judicial questions.¹³⁸

¹³⁸ Jessup, *Has The Supreme Court Abdicated One Of Its Functions?*, 40 *Am. J. Int'l L.* 168 (1946); Kuhn, *The Extension of Sovereign Immunity to Government-Owned Commercial Corporations*, 39 *Am. J. Int'l L.* 774 (1945).

C.

COMPETENCE OF COURT

It is generally recognized that valid contracts should be performed.¹³⁹ This basic principle of United States jurisprudence is followed by the courts even where the State is a party, and any variation must find its justification in a higher principle such as public policy or international law. Where, however, the court finds justification to declare its incompetence, it does so because it is bound by the law of the land, or because it feels it a duty not to exert its power to embarrass the executive branch in the execution of its political functions. The court, however, may, if it is so inclined, take jurisdiction in the exercise of its power. The varied situations in which the court has taken jurisdiction involving a State's activities indicate an almost unlimited competence, which is in accordance with the theory of an independent judiciary.

The United States court, when called upon to determine the legality of an act done by a foreign State will not condemn the influences persuading the sovereign to make its decrees, and will determine the legality of the act in accordance with the place where it was done. Thus, in an action under the Sherman Anti-Trust Law, against the defendant who tried to control the banana trade in Costa Rica with the help of the Costa Rican Government thru the use of its soldiers, the court refused to apply

¹³⁹ *Murray v. Charleston*, see note 43 supra at 449, referring to United States Const. Art. 1, sec. 10, whereby States may not pass laws impairing obligations of contracts.